The Memory Cycle Journal

LEAD STORY KEY NUMBERS FROM THE INBOX ON X CYCLE TRACKER EVENTS

SOX (THU CLOSE)
10,731.98 −6.72%, worst day since June · MU $856.49 (−6.26%) · SNDK $1,260.93 (−8.51%) · KOSPI 13:42 KST 5,494.56 (−0.71%, intraday)

DDR5 16GB SPOT
$61.20 +0.16% · TrendForce 2026-10-23 11:00 GMT+8 · DDR4 16Gb $82.87 (−0.30%) · NAND 512Gb TLC wafer $18.592 (−1.28% wk)

LEAD STORY

STORAGE · PRICING VS. THE TAPE

Western Digital Raises Its Outlook and Sees More Price Rises, but Chip Stocks Have Their Worst Day Since June

Storage prices are still rising and customer visibility runs to 2030. Investors sold anyway, on AI-funding fears and $113 oil.

By the Memory Cycle Desk · Tel Aviv · Data as of ~08:20 IDT · Korea and Japan prices intraday · CONFIRMED unless marked

KEY NUMBERS · THE CYCLE IN NUMBERS

WESTERN DIGITAL, SEP QUARTER

Revenue (y/y)	**$4.38B (+55%)**
Gross margin	**58.1%**
Exabytes / price per TB	**248 EB / +28% y/y**
Dec-Q guide	**$5.1B ±$0.1B, GM 60–61%**
Close / after hours	**$354.19 / ~$337**

THURSDAY'S ROUT (CLOSES)

SOX	**−6.72%**
Lam / Seagate	**−11.76% / −7.86%**
Micron / Sandisk	**−6.26% / −8.51%**
Kospi · SK hynix	**−3.52% · −5.49%**
Brent	**$113.17 (+4%)**

Sources: WDC release and call (Investing.com); closes from StreetInsider, Swingfolio, Yonhap.

Western Digital reported September-quarter revenue of **$4.38 billion**, up 55% from a year earlier and above the ~$4.14 billion consensus. Gross margin was 58.1% and EPS $4.64. Exabytes shipped rose 22% to 248, and price per terabyte rose **28%**. December guidance is **$5.1 billion ±$100 million** with a 60–61% gross margin and EPS of $5.80 ±$0.20. CFO Kris Sennesael: "We continue to operate in a very strong, favorable pricing environment." Management sees room for more price-per-terabyte increases over the next three to four quarters, and visibility with its top seven customers out to **2030–31**. Capex runs above its 4–6% range, on heads and media, not unit capacity.

The tape ignored it. The SOX fell **6.72%** to 10,731.98, its worst day since June, now 26% below its June 22 record. Lam fell 11.76%, Sandisk 8.51%, Seagate 7.86% and Micron 6.26%. Revived doubts about AI spending drove the selling, and Brent jumped 4% to $113.17. Jensen Huang told CNBC he does not expect a memory glut by 2029: "One of the things that's really great about memory is that you can always use more of it."

Our call: late upcycle, tight through 2027, unchanged; firmer on storage pricing and visibility, weaker on the tape, and NAND still the soft spot. CYCLE SIGNAL: FUNDAMENTALS FIRM, FLOWS WEAK

KOREA · CAPITAL MARKETS

SK Hynix Halts the Solidigm IPO, and Seoul Claws Back Most of an Early Rout

Before Friday's open, SK hynix said Solidigm had stopped its pre-IPO and IPO review "after taking capital market conditions and other factors into consideration." It needs the same money for a new US fab and is exploring other options (SK hynix). After Thursday's 3.52% drop to 5,533.77, the Kospi opened −2.36% and fell as far as **−4.12%**. By 13:42 KST it was down only 0.71% at 5,494.56 despite ₩1T+ of foreign selling. At 13:58 KST **SK hynix was up 2.62% at ₩1,255,000**, while Samsung was down 0.93%. In Tokyo, Kioxia fell as much as 9.64% to ¥11,380, a six-month low (Nikkei). OVERHANG REMOVED

TAIWAN · LABOR AND WEATHER

Micron Offers Taiwan Staff a Quarterly Profit Bonus as Typhoon Delays Union Talks

The Taoyuan union's 24-hour strike ended at 09:00 Friday Taiwan time, and the second round of talks moved to **Tuesday, Oct. 27** because Typhoon Champi shut much of Taiwan (Liberty Times). Micron has offered a new quarterly profit-sharing bonus, based on quarterly net income minus next-quarter forecast capex and paid half in stock and half in cash. It starts in fiscal 2027 and covers staff worldwide. The union wants 15% of global operating profit (Taipei Times). COST UP, SUPPLY RISK LOW

CHINA · PRICES

CXMT's Profit Growth Stalls as Commodity DRAM Cools; NAND Quotes Keep Slipping

CXMT guided third-quarter revenue up 15–20% from the second quarter, to ¥114.7–119.7 billion, but net income up only 1.0–3.8%, to ¥53.4–54.9 billion (The Inference). YMTC is testing 16Gb LPDDR5 at its Fab 2 and plans a $4F^2$ part for Fab 3 (Counterpoint via Wccftech). **Spot:** DDR5 16Gb rose 0.16% to $61.20, and DDR4 16Gb fell 0.30% to $82.87 (TrendForce). DRAMeXchange says NAND quotes are "weak and continue to decline." DRAM FLAT, NAND SOFT

FROM THE INBOX · SINCE OCT 22, 08:00 IDT

NEW **"An overreaction."** Cantor keeps WDC at Overweight but cuts its target to $625 on lower market multiples. It says the extra capex goes to heads, media and automation, not drive capacity. Goldman calls the results very strong but sees HDD multiples capped as a competitor adds units; it prefers Seagate. Cantor; Goldman Sachs, Oct 22–23

NEW **Positioning, not the cycle.** 22% of semis/hardware names oversold on 14-day RSI, most since November; GS prime shows shorts outpacing longs ~5:1 in October. Jefferies, Oct 22

ON X · SINCE LAST EDITION · TIMES IDT

@pequityresearch · Oct 23 00:46
Western Digital now sees visibility to 2030–2031 across its top 7 customers.
x.com/.../2113386460489420838

@jukan05 · Oct 23 07:16 UNCONFIRMED
Korean media: Samsung adds 6,000 wafers/month at Taylor Fab 1, to 20,000 in 2H next year.
x.com/.../2113484603872997473

CYCLE TRACKER · UNCHANGED: STORAGE PRICING FIRMER, TAPE WEAKER

GAUGE	TODAY VS OCT 22 (KPI WATCH LIST)	NUDGE
Contract ROC	No new print; Q4 DRAM ~+20% (carry); WDC price/TB +28% y/y, accelerating	**Slowing**
Spot vs contract	DDR5 $61.20 (+0.16%); DDR4 $82.87 (−0.30%); NAND quotes still falling	**Flat**
Lead times	WDC visibility to 2030–31 with top 7 customers	**Tight**
Capex growth	WDC capex above 4–6% range, not unit capacity; Solidigm IPO halted	**Disciplined**
CXMT supply	Q3 profit +1–4% q/q; YMTC LPDDR5 testing, $4F^2$ planned	**Rising, slower**
P/E and P/B	SOX 26% below its June high; MU $856, Kioxia at a 6-month low	**Cheaper**
Guidance	WDC beat and raise (GM 60–61%); Huang: no glut by 2029	**Firm**

VERDICT

Late upcycle; tight through 2027, unchanged. Firmer on storage (WDC price/TB accelerating, visibility to 2030–31; Solidigm IPO overhang gone); offsets are flat DRAM spot, falling NAND quotes and stalled CXMT profit growth. The tape, not memory data, is the weak link.

EVENTS CALENDAR · OCT 23–NOV 5 · ISRAEL TIME (IDT TO OCT 24, IST FROM OCT 25)

Tue 27	Micron Taoyuan union talks (rescheduled) · Seagate FQ1 AMC (call 23:00)	HDD
Wed 28	SK hynix 3Q26 call 02:00 · FOMC 20:00 · KLA AMC (call 23:00)	HBM
Thu 29	Samsung 3Q26 call 03:00 · Sandisk FQ1 AMC · Intel AMC (23:00)	HBM
Fri 30–Nov 3	TEL & Kioxia (30) · CXMT Q3 (by 31) · Korea exports (Nov 1) · SMCI (Nov 3)	NAND

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Unconfirmed reports are labeled as such. Figures are only those cited from named sources. · Edition #17 · Oct 23, 2026